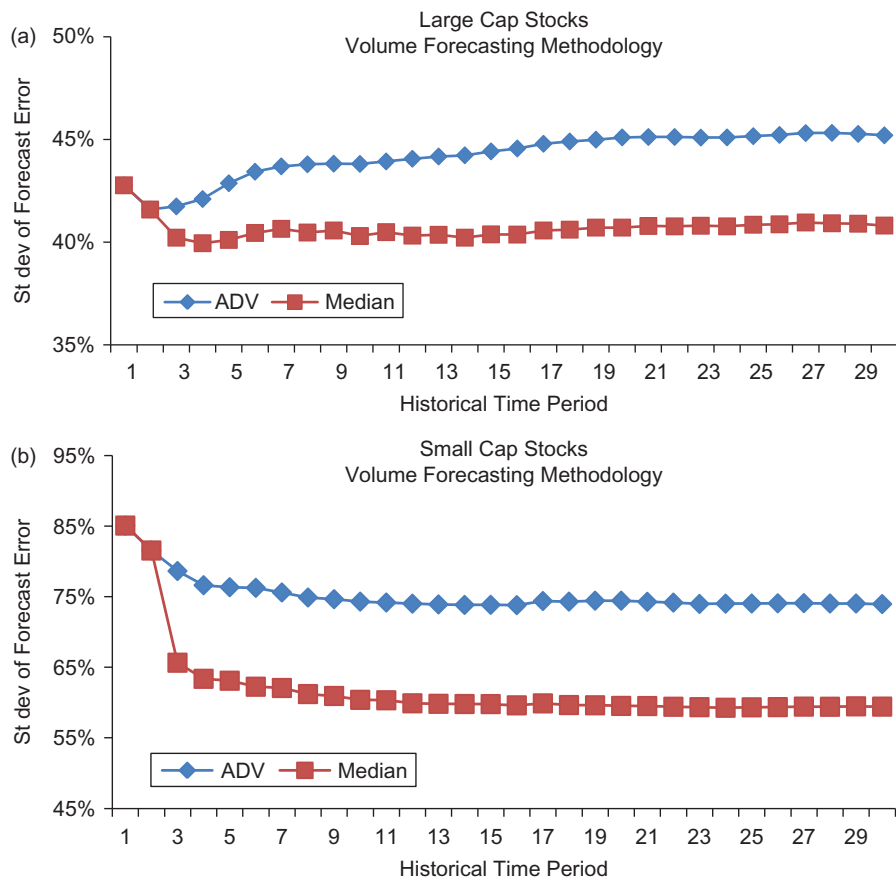




■ Figure 7.3 Daily Volume Forecast.

convex shape with a minimum error point. For large cap stocks the minimum error is around 5–10 days and for small cap stocks the minimum error is close to 10 days.

*Conclusion 1*

- We conclude that the median daily volume using a historical period of 10 days, i.e., MDV(10), has the lowest forecast error across stocks and market cap during our analysis period.

*Author's Note:* As shown above, the ADV measure will more often be higher than the actual volume due to the positive skew of the volume distribution. Volume distributions tend to have more above average than